

LOCKE'S MADMEN, OR BELL CURVES IN THE WRONG PLACES*

What?—Anyone can become president—Alfred Nobel's legacy—Those medieval days

I have in my house two studies: one real, with interesting books and literary material; the other nonliterary, where I do not enjoy working, where I relegate matters prosaic and narrowly focused. In the nonliterary study is a wall full of books on statistics and the history of statistics, books I never had the fortitude to burn or throw away; though I find them largely useless outside of their academic applications (Carneades, Cicero, and Foucher know a lot more about probability than all these pseudosophisticated volumes). I cannot use them in class because I promised myself never to teach trash, even if dying of starvation. Why can't I use them? Not one of these books deals with Extremistan. Not one. The few books that do are not by statisticians but by statistical physicists. We are teaching people methods from Mediocristan and turning them loose in Extremistan. It is like developing a medicine for plants and applying it to humans. It is no wonder that we run the biggest risk of all: we handle *matters that belong to Extremistan, but treated as if they belonged to Mediocristan*, as an "approximation."

Several hundred thousand students in business schools and social science departments from Singapore to Urbana-Champaign, as well as people in the business world, continue to study "scientific" methods, all grounded in the Gaussian, all embedded in the ludic fallacy.

This chapter examines disasters stemming from the application of phony mathematics to social science. The real topic might be the dangers to our society brought about by the Swedish academy that awards the Nobel Prize.

Only Fifty Years

Let us return to the story of my business life. Look at the graph in [Figure 14](#). In the last fifty years, the ten most extreme days in the financial markets represent half the returns. Ten days in fifty years. Meanwhile, we are mired in chitchat.

Clearly, anyone who wants more than the high number of six sigma as